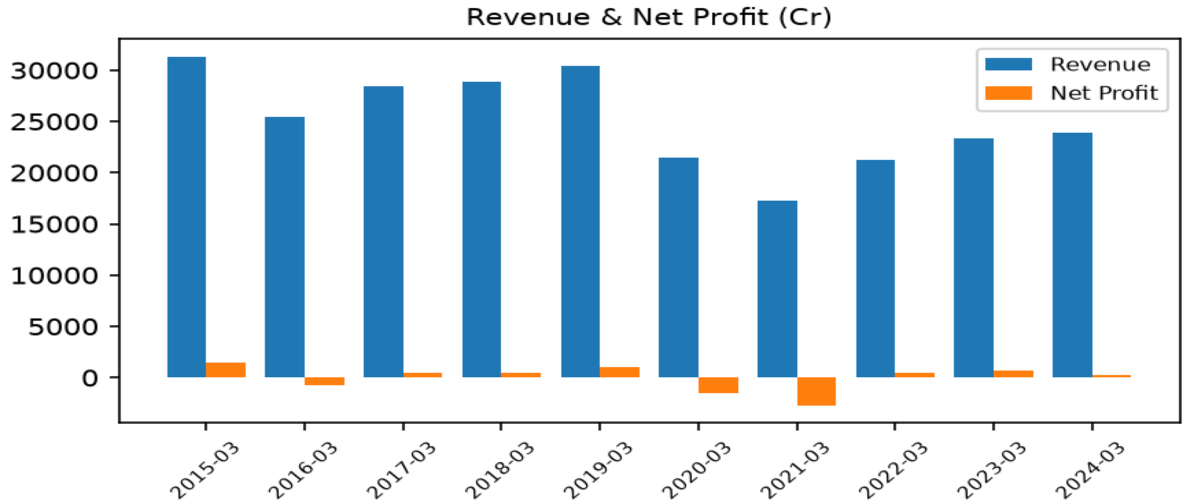
Bharat Heavy Electricals Limited (BHEL)

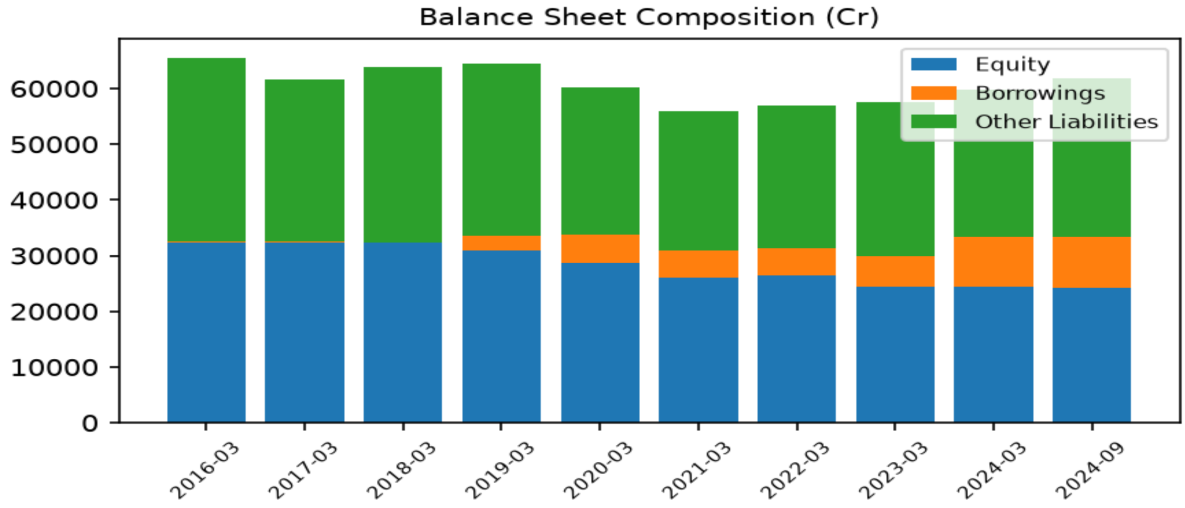
ROE 1.2%	**ROCE** 1.4%	**Net Profit Margin** 1.2%
D/E 0.4	**Revenue CAGR 5yr** -4.7%	**Free Cash Flow (Cr)** -2382.0

Revenue & Net Profit (10yr)

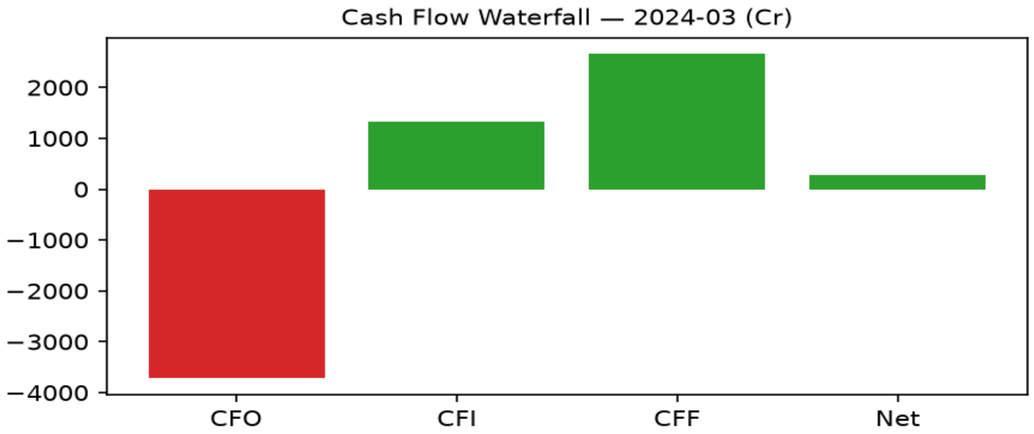


ROE & ROCE (10yr)

Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Return on equity of 1.2% reflects the company's baseline capital efficiency.

Cons

✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
✗ Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Distress Signal